

Skylark Dynamics Q2 2026 Quarterly Business Review

Prepared by the Finance and Strategy team for the board meeting of 21 July 2026. All figures are in millions of US dollars unless stated otherwise. Skylark Dynamics is a fictional company; this document is sample data for NexusRAG.

1 Executive Summary

Skylark Dynamics delivered record revenue of 48.6 million USD in Q2 2026, up 22% from 39.8 million USD in Q2 2025. Gross margin improved to 41.5% as the Borealis S2 moved to higher-volume production. The motor supply constraint that slowed Aurora X1 deliveries in April was resolved in May, and order fulfilment times are back within target.

Operating income doubled year over year to 4.8 million USD. The company opened its India office in Bengaluru and launched the Borealis S2 LiDAR kit.

2 Financial Highlights

Metric	Q2 2025	Q2 2026	Change
Revenue	39.8	48.6	+ 22%
Gross margin	38.9%	41.5%	+ 2.6 pts
Operating expenses	13.1	15.4	+ 18%
Operating income	2.4	4.8	+ 100%
Headcount (end of quarter)	412	486	+ 18%

3 Revenue by Product Line

Product line	Units shipped	Revenue	Share of revenue
Aurora X1	1,420	20.6	42%
Borealis S2	610	11.5	24%
Payloads and accessories	n/a	7.9	16%
Software and services (Skylark Cloud, Care Plus)	n/a	8.6	18%

The Aurora X1 lists at 14,500 USD per kit and remains the largest product line. The Borealis S2 standard kit lists at 18,900 USD and the LiDAR kit at 31,500 USD. Software and services grew fastest, up 41% year over year, driven by Skylark Cloud subscriptions from utility customers.

4 Regional Performance

North America generated 58% of revenue, Europe 27% and Asia-Pacific 15%. Europe grew fastest at 31% year over year after the Borealis S2 received its EU class C2 certification in

March. The new Bengaluru office opened in April 2026 with 35 staff focused on flight software and customer support for the Asia-Pacific region.

5 Product Updates

5.1 Aurora X1

Firmware 4.2 shipped in May with improved ADS-B alerting and a new automated wind-turbine inspection mode that plans the flight path around the blades. The TH-640 thermal module became the most popular accessory, attached to 38% of Aurora X1 kits sold in the quarter.

5.2 Borealis S2

The Borealis S2 LiDAR kit launched in June 2026. Early customers in mining report surveying twice the area per day compared with their previous multicopter LiDAR systems.

5.3 Roadmap

The Aurora X2 is in development with a planned launch in Q2 2027. Its specifications have not been disclosed.

6 Operations

In April, motor supplier Voltra Motion delayed shipments by five weeks, which reduced Aurora X1 output. The team qualified a second motor supplier in May. Average order fulfilment time fell from 9 days at the end of April to 4 days at the end of June. Customer satisfaction (CSAT) was 4.5 out of 5, while support ticket volume rose 12% with the larger installed base.

7 Outlook for Q3 2026

Revenue guidance for Q3 2026 is 51 to 54 million USD. The company plans to hire 40 engineers, mainly for the Aurora X2 programme, and expects gross margin to stay between 40% and 42%.

8 Key Risks

- Tariffs on imported battery cells could raise battery costs by up to 12%.
- Changes to FAA rules on beyond-visual-line-of-sight (BVLOS) operations could delay enterprise deployments in the United States.
- Dependence on a single supplier for the VZ-20 camera sensor.